Legal Settlement Summary: Rennick Systems v. Calloway Metrics

Version	Date	Owner	Distribution	Change
v1.1	Oct 3, 2026	Office of the General Counsel	Audit Committee	insurer confirmation added

CONFIDENTIAL. ATTORNEY CLIENT PRIVILEGED. Prepared by the Office of the General Counsel for the Audit Committee. Matter: Rennick Systems LLC v. Calloway Metrics, Inc., patent infringement, District of Delaware. Status: settled in principle on September 30, 2026.

Background. Rennick Systems, a non practicing entity, filed suit in February 2025 alleging that Calloway's query caching feature infringed two patents relating to incremental materialization of aggregate tables. Rennick sought damages of 14 million dollars plus a running royalty of 2 percent on affected revenue. Outside counsel assessed our invalidity defense as strong for one patent and moderate for the other.

Settlement terms. Calloway will pay Rennick a lump sum of 2.75 million dollars within 30 days of executing the definitive agreement. In exchange, Rennick grants Calloway and its customers a fully paid up, perpetual, worldwide license to the asserted patents and the remainder of its portfolio of 31 patents. Both parties will file a joint stipulation of dismissal with prejudice. There is no admission of liability.

- Lump sum payment: 2,750,000 dollars, of which 1,900,000 dollars is covered by our IP insurance policy
- Net cost to Calloway after insurance: 850,000 dollars
- Legal fees incurred to date: approximately 3.4 million dollars
- Projected cost to try the case through verdict: an additional 4.1 million dollars
- Confidentiality: terms may not be disclosed except as required by law or to auditors

Rationale. Trial was scheduled for March 2027. Our damages expert estimated a reasonable royalty exposure between 3.8 and 9.2 million dollars if we lost on both patents. Given the cost of trial and the distraction to engineering leadership, who would have been required to testify, counsel recommended settlement. The license to the entire Rennick portfolio also removes the risk of follow on suits related to the Riptrace streaming product.

Accounting treatment. Finance will record a charge of 850,000 dollars in Q3 2026 for the net settlement amount. The insurer has confirmed coverage in writing. Auditors have been informed and agree that no restatement of prior periods is necessary.

Disclosure. Because the amount is not material to the financial statements, no public disclosure is required. Customers who asked about the litigation should be told only that the matter has been resolved to the mutual satisfaction of the parties. Sales staff must not discuss settlement amounts.

Lessons learned. The litigation exposed that our invention disclosure process lagged behind engineering output, leaving us with few defensive patents. The General Counsel recommends filing at least six provisional applications covering Riptrace and Lantern in 2027 and joining a defensive patent pool at an annual cost of about 90,000 dollars.

Asserted patents

Patent	Title (short)	Expires	Our invalidity view
US 9,8xx,xx1	Incremental materialization of aggregate tables	2034	strong, prior art from 2009 OLAP paper
US 10,2xx,xx7	Cache invalidation via dependency graph	2037	moderate, examiner considered closest art

Litigation history

Date	Event
2025-02-11	complaint filed, D. Del.
2025-06-03	our motion to dismiss under 101 denied in part
2025-11-20	IPR petition filed on '8xx1 patent
2026-05-14	IPR instituted on '8xx1 (claims 1-9)
2026-07-22	claim construction order, mostly favorable on '2xx7
2026-09-30	settlement in principle at mediation

Decision analysis

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                  Win (both)   Split      Lose (both)
Probability        35%          40%        25%
Damages ($M)       0            3.8        9.2
Fees to verdict    4.1          4.1        4.1
Expected cost  = 0.35*4.1 + 0.40*7.9 + 0.25*13.3  = 7.90M
Settlement net = 0.85M (after insurance)
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The insurer's consent to settle was a condition of coverage and was received on October 2. Counsel notes that the IPR on the first patent will be terminated jointly as part of the settlement, which means we lose the chance to invalidate it, but the portfolio license makes that moot for us.

Board members should note that Rennick is known to assert against other analytics vendors. Our license covers our customers' use of our products only, not their independent use of other tools.

Next steps. Execute the definitive settlement agreement by October 20. Wire payment by November 19. File dismissal within five business days of payment. Update the litigation reserve and the risk register accordingly.

Key terms of the definitive agreement (draft)

Release: mutual general release of all claims relating to the asserted patents, including claims against our customers, resellers and cloud providers for use of Calloway products. Covenant not to sue: Rennick and its affiliates will not assert any patent they own now or acquire in the next five years against Calloway products, which is broader than the license itself and was the main thing we fought for in mediation. Most favored licensee: none. Calloway did not agree to any running royalty or reporting obligation. Change of control: the license survives an acquisition of Calloway and extends to the acquirer's products only to the extent they are derived from Calloway products.

Outside counsel fees for the settlement phase are estimated at an additional 120,000 dollars. Please route any questions to the Office of the General Counsel.